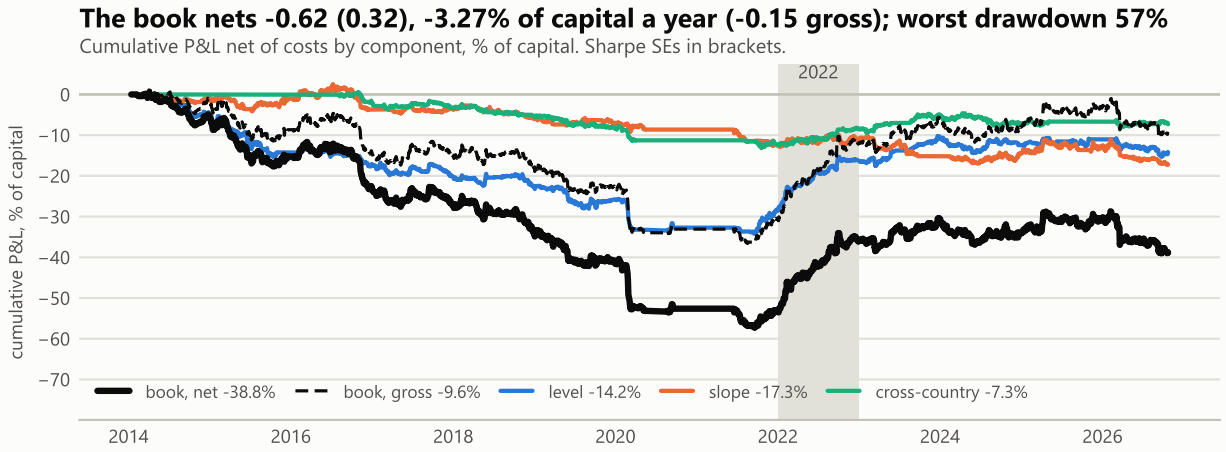
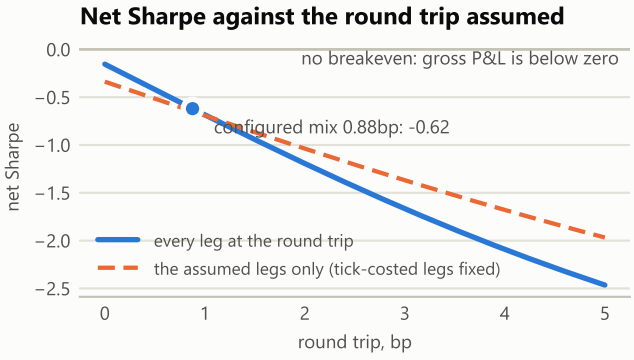
Policy paths against the rules: tear sheet

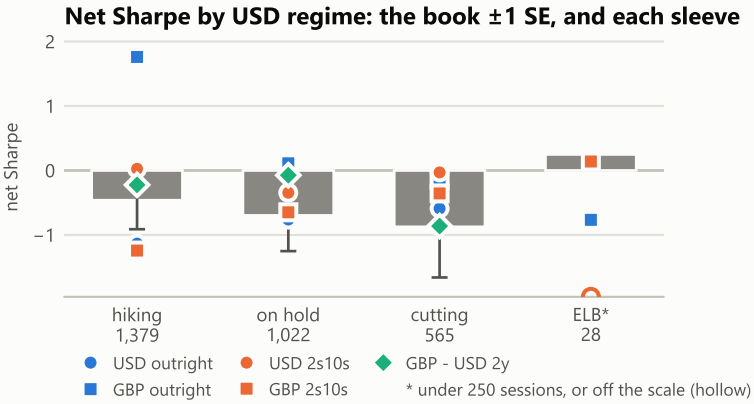
As of 23 October 2026 · book in USD, counted from Jan 2014 · generated 2026-10-25 by scripts/build_tearsheet.py, nothing typed by hand

Every session, the market's path for each policy rate over the next eight meetings (USD from ZQ and GBP from OIS) is set against the path a balanced-approach rule would take on the macro data public that day, held flat. The gap between the two, z-scored against its own trailing two years, is traded in five sleeves: the fourth-meeting rate in USD and GBP, 2s10s in USD and GBP on the part of the slope gap the level does not explain and the GBP - USD 2y differential. Each sleeve takes a side at |z| 1 and drops it at z 0, flat when the policy rate and the rule are both at the lower bound; the book sizes the sides inverse to their vol under one 5% vol target, net of costs.



· The level dominates (63% of the gross P&L variance; closer to a duration timer than to relative value): it made +0.02% a year gross, the rest -0.83%.
· Carry and roll cost -2.03% a year and the rate change earned +1.22% (GBP outright +2.42%, the rest -1.21%); not a carry trade (corr -0.15 with the carry-sign book).
· IC(21) of z on the rate change, outside the ELB: USD outright -0.12, GBP outright +0.37, USD 2s10s +0.09, GBP 2s10s +0.04, GBP - USD 2y -0.03.
· Costs 2.46% a year: 19.8 turns of a 283k mean gross DV01 at 0.44bp one way, 46% of it rolls and re-strikes.
· ELB flat (exclude -0.56, hold -0.70). Ex-2022 -0.99, ex-Dec 2021 to Aug 2023 -1.13; GBP outright, the best sleeve, +0.49, +0.14 and +0.03: one cycle.





The current signal, 23 October 2026

	as of	z	side	DV01/bp	instrument	edge	CR 91d	E 91d
USD outright	23 Oct	+2.1	receive	+31k	2027-04	+47	+23	+33
GBP outright	22 Oct	+1.1	receive	+33k	2027-03-18/2027-04-29	+54	+33	+35
USD 2s10s	23 Oct	+1.8	receive	+43k	2y vs 10y	+29	+11	+13
GBP 2s10s	22 Oct	-0.2	flat	+0k	2y vs 10y	+3	-11	-1
GBP - USD 2y	22 Oct	+0.3	flat	+0k	2y vs 2y	+10	+3	+4

Edge: the de-meaned gap, bp (a proxy for the legs' move on curve and cross sleeves), for the side z points to, as are CR (carry and roll over 91 days, curve frozen) and E (the edge's past closure, CR on the rest). DV01: the book's position, book currency.

Performance, net of costs (Sharpe with its SE)

	gross SR	net SR	a year	vol	worst dd	hit day	hit trade	turns	ex-2022	ex-22-23
book	-0.15	-0.62 (0.32)	-3.27%	5.3%	57%	46%	43%	20	-0.99	-1.13
USD outright	-0.49	-0.87 (0.34)	-2.17%	2.5%	35%	38%	53%	17	-1.08	-1.22
GBP outright	+0.72	+0.49 (0.31)	+0.97%	2.0%	6%	50%	56%	15	+0.14	+0.03
USD 2s10s	-0.00	-0.13 (0.29)	-0.31%	2.5%	9%	46%	44%	11	-0.16	-0.20
GBP 2s10s	-0.36	-0.62 (0.32)	-1.14%	1.8%	14%	48%	30%	8	-0.73	-0.57
GBP - USD 2y	-0.19	-0.31 (0.30)	-0.62%	2.0%	14%	49%	33%	9	-0.52	-0.67

Sleeves: their contribution inside the book, over its sessions. Breakeven round trip: none (gross <= 0); configured mix 0.88bp. Ex-2022 and ex-22-23 leave calendar 2022, and Dec 2021 to Aug 2023, out of the P&L, the positions not re-run. Tables: reports/metrics.md and reports/portfolio.md; choices: notes/DECISIONS.md.